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ZTO Express | Asia Pacific

Earnings Upgrade Continues Despite Macro Challenges; Reiterate OW

WHAT'S CHANGED

ZTO Express (ZTO.N)	From	To
Price Target	US\$28.50	US\$30.10

It is our third earnings forecast hike in six months, despite slower industry volume growth and rising fuel costs. Market share gains and better unit profitability should support ZTO's re-rating.

Earnings outlook improved, again. Following earnings upgrades post its [3Q25 results](#) and [4Q25 results](#), we raise forecasts the third time post its 1Q26 results. Previously, market expected limited unit profitability improvement in 2026, on top of market share gains. Now management is more optimistic towards full-year unit profit improvement. A positive feedback loop has resumed - market share gains, followed by better pricing power and more efficient cost structure vs. peers, leading to better-than-expected unit profitability and earnings growth.

Share price correction brings a good entry point: ZTO's dual listed H shares (2057.HK, not covered) fell 3.3% on May 20 (vs. HSI -0.6%), after ZTO announced [the resignation of a non-executive director from Alibaba \(BABA.N, covered by Gary Yu\)](#) along with results, triggering market expectations of a potential Alibaba stake reduction (9% stakes as of end-25). ZTO said it couldn't rule out this possibility. We would view any pullback in the US listed stock as a good entry point given no fundamental concerns behind the share price correction, and we expect ZTO to resume share repurchases soon. We estimate ZTO's share repurchases may reach US \$0.8bn in the next 12 months (plus YTD US\$0.6bn), indicating ~8% shareholder return on the last close.

Earnings and PT adjustments: We raise our adj. net profit forecast by 5.4% and 5.3% for 2026 and 2027, respectively, following slightly higher unit profit assumptions. Our forecasts now imply 21% and 16% YoY growth in adj. net profits in 2026 and 2027, respectively. Our 2026 earnings are 8.5% above consensus. Our end-2026 price target rises 5.6% to US\$30.1, implying ~14x 2026e P/E.

Robust 2Q26 profit growth outlook, reiterate OW: We expect ~10% YoY volume growth in 2Q26, and a moderate QoQ improvement in unit profitability amid seasonality. We expect ~Rmb2.9bn adj. NP for 2Q26, a ~40% YoY increase from a low base. We think ZTO's current valuation at 11x P/E reflects the market's lack of confidence in its sustained profit growth given competition uncertainties. However, we think earnings upward revisions and valuation expansion will likely continue, supporting our optimistic view on its risk-reward.

MORGAN STANLEY ASIA LIMITED+

Qianlei Fan, CFA

Equity Analyst

Qianlei.Fan@morganstanley.com

+852 2239-1875

Tenny Song

Equity Analyst

Tenny.Song@morganstanley.com

+852 3963-1737

ZTO Express (ZTO.N, ZTO UN)

Hong Kong/China Transportation & Infrastructure | China

Stock Rating	Overweight
Industry View	In-Line
Price target	US\$30.10
Up/downside to price target (%)	28
Shr price, close (May 19, 2026)	US\$23.55
52-Week Range	US\$26.15-16.68
Sh out, dil, curr (mn)	798
Mkt cap, curr (mn)	Rmb128,117
EV, curr (mn)	Rmb114,714
Avg daily trading value (mn)	US\$9

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	11.40	14.15	16.42	18.71
Prior EPS (Rmb)**	-	13.4	15.6	-
EBITDA (Rmb mn)	13,963	16,860	19,379	21,671
Net income (Rmb mn)**	9,513	11,488	13,327	15,182
P/E**	12.8	11.3	9.8	8.6
ROE (%)	14.6	16.6	17.4	17.6
EV/EBITDA	7.6	5.9	4.7	3.8
Div yld (%)	3.3	0.0	3.6	4.1
FCF yld ratio (%)	5.1	6.5	8.4	10.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

Read:

[ZTO Express: 1Q26 Results Call: Sustained Positive Management Tone on Earnings Outlook \(20 May 2026\)](#)

[ZTO Express: 1Q26: Adj. NP Largely in-Line; Unit GP Expansion Confirmed the Inflection \(19 May 2026\)](#)

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1Q26 Results and Call Takeaways

Results summary

1Q26 non-GAAP net income: Rmb2,377mn, +5.2% YoY, largely in-line with MSe (Rmb2,347mn,+4%).

- 1Q26 parcel revenue grew 22.5% YoY to Rmb13.1bn, driven by 13.2% YoY volume growth, core ASP +8.2% YoY (peers: -2~+14% YoY). Retail parcel volume growth continues to outpace in the mix, contributing to Rmb18 cent KA-related ASP increase, partly offset by Rmb9 cents (-11 cents in 4Q25 and -14 cents in 3Q25) of vol incentives.
- Core express unit cost was up Rmb8 cents YoY: KA costs led to 15-cent hike, offset by 6-cent efficiency gains.
- GP and OP were up 20.3% (MSe: +18% YoY) and 5.8% (+22% recurring) YoY, respectively. Unit GP was Rmb0.33, +6.3% YoY.
- Implied unit net profit was Rmb0.25, -7% YoY. Smaller government grants in 1Q26 amid recognition timing difference, we think. (MSe: Rmb0.24, down Rmb0.02 QoQ; peers: Rmb0.07-0.18, -Rmb0.02~+Rmb0.01 QoQ).

- Market share in 1Q26 was 20.3%, +1.3ppt YoY.

- OCF was Rmb2.8bn in 1Q26, vs. Rmb2.4bn in 1Q25. Capex was Rmb1.8bn in 1Q26, -8% YoY.

- 2026 outlook unchanged: parcel volume 42.4-43.5bn (MSe: 43.1bn), up 10-13% YoY.

Exhibit 1: ZTO: 1Q26 results

Income Statement (Rmb mn)	Actual			MSe	
	1Q26	1Q25	YoY	2026	as % of Mse
Total revenue	13,282	10,891	22.0%	56,197	23.6%
Total cost of revenues	(10,047)	(8,202)	22.5%	(41,644)	24.1%
Gross profit	3,235	2,689	20.3%	14,552	22.2%
<i>Gross margin</i>	<i>24.4%</i>	<i>24.7%</i>	<i>-0.3ppt</i>	<i>25.9%</i>	
Operating profit	2,545	2,405	5.8%	12,511	20.3%
<i>Operating margin</i>	<i>19.2%</i>	<i>22.1%</i>	<i>-2.9ppt</i>	<i>22.3%</i>	
Net income - reported	2,118	1,993	6.3%	10,454	20.3%
Non-GAAP net income	2,377	2,259	5.2%	10,895	21.8%
ZTO volume	9,668	8,539	13.2%	43,102	22.4%
Industry volume	47,734	45,137	5.8%	214,866	22.2%
Market share	20.3%	18.9%	1.3ppt	20.1%	
Unit revenue	1.36	1.25	8.2%	1.29	105.7%
Unit cost	(1.02)	(0.94)	8.8%	(0.95)	107.9%
Unit GP	0.33	0.31	6.3%	0.34	99.1%
Unit OP	0.26	0.28	-6.5%	0.29	90.7%
Unit net profit	0.25	0.26	-7.1%	0.25	97.3%

Source: Company Data, Morgan Stanley Research estimates

Results call summary

Market volume growth outlook softened in 2026 amid macro challenges. ZTO's 10-13% volume growth forecast is unchanged.

- April volume growth remained in the teens, despite low-single-digit market volume growth.

Unit cost reduction is better than expected in 1Q. We expect full-year unit cost decline to exceed expectation earlier this year. Unit cost performance remains outstanding in May, per management, despite fuel cost hikes.

Retail business: ZTO has been gaining market share in reverse parcels and has been the leading player in terms of market share. UE for reverse parcels remains moderately higher vs. the average level.

Shareholder returns: We expect share repurchases to resume later this month.

Capex: Rmb6bn in 2026.

Earnings Estimate and Price Target Revisions

We raise our EPS forecasts for 2026-27e by 5% and 5%, respectively, reflecting better-than-expected unit cost improvement YTD2026 and healthy ASP amid anti-involution. We also introduce our 2028e EPS of Rmb18.7, implying 14% YoY adj. net profit growth in 2028.

Our WACC assumption remains unchanged at 13.2%. With unchanged probability weightings for bull/base/bear cases, our probability-weighted price target is lifted by 6% to US\$30.1 from US\$28.5 previously, largely in line with our earnings changes. Our price target implies 14x 2026e P/E, slightly higher vs. the domestic peer average of 13x given market leadership.

BULL CASE: 15% WEIGHTING (unchanged)

Scenario value: US\$39.60 (US\$37.50 previously)

Revenue growth of 18%, 17% and 14% for 2026e, 2027e and 2028e, respectively, and adjusted EBIT margins of 26%, 27% and 27%. We assume the express industry consolidates faster than expected, and ZTO takes significantly more market share than peers.

BASE CASE: 75% WEIGHTING (unchanged)

Scenario value: US\$30.0 (US\$28.4 previously)

Revenue growth of 16%, 15% and 11% for 2026e, 2027e and 2028e, respectively, and adjusted EBIT margins of 24%, 25% and 25%. We expect industry volumes to grow 8%, 9% and 9% YoY in 2026-28e. We also expect ZTO's market share to rise 0.7ppt in 2026e, 0.6ppt in 2027e, and 0.3ppt in 2028e given its more balanced network partner interests, better cost control, and better service quality.

BEAR CASE: 10% WEIGHTING (unchanged)

Scenario value: US\$16.80 (US\$15.70 previously)

Revenue growth of 13%, 12% and 8% for 2026e, 2027e and 2028e, respectively, and adjusted EBIT margins of 16%, 17% and 18%. We assume lower volume growth due to weaker-than-expected e-commerce demand, and lower-than-expected adjusted EBIT margins for 2026-28e, impaired by cost inflation in serving key accounts, as well as declining ASPs due to intensified price competition.

Exhibit 2: ZTO: New vs. old estimates

(December 31, Rmb mn)	2026			2027			2028
	New	Old	Difference	New	Old	Difference	New
Express Revenues	53,319	52,500	1.6%	61,353	60,411	1.6%	68,524
Freight forwarding service	727	808	-10.0%	727	808	-10.0%	727
Sale from accessories	2,567	2,762	-7.1%	2,823	3,038	-7.1%	3,106
Others	108	126	-14.3%	113	132	-14.3%	119
Total Revenues	56,721	56,197	0.9%	65,016	64,389	1.0%	72,476
Transportation and sorting hub costs	25,108	25,218	-0.4%	27,504	27,624	-0.4%	29,743
Other costs	15,010	15,010	0.0%	18,012	18,012	0.0%	20,713
Cost of sales - Freight forwarding	687	764	-10.0%	687	764	-10.0%	687
Cost of sales - accessories	607	653	-7.1%	668	718	-7.1%	734
Total cost of sales	41,412	41,644	-0.6%	46,870	47,117	-0.5%	51,877
Gross profit	15,309	14,552	5.2%	18,146	17,272	5.1%	20,598
<i>Gross margin</i>	<i>27.0%</i>	<i>25.9%</i>	<i>1.1 ppt</i>	<i>27.9%</i>	<i>26.8%</i>	<i>1.1 ppt</i>	<i>28.4%</i>
Operating expenses							
SG&A	2,958	2,933	0.8%	3,359	3,329	0.9%	3,755
Other operating expenses, net	(891)	(891)	0.0%	(918)	(918)	0.0%	(946)
Operating profit	13,243	12,511	5.9%	15,705	14,861	5.7%	17,789
<i>OP margin</i>	<i>23.3%</i>	<i>22.3%</i>	<i>1.1 ppt</i>	<i>24.2%</i>	<i>23.1%</i>	<i>1.1 ppt</i>	<i>24.5%</i>
Other Income (expenses)							
Interest income	636	679	-6.4%	703	820	-14.3%	794
Impairment of equity investment	-	-	n.m.	-	-	n.m.	-
Gain on deemed disposal of investments	-	-	n.m.	-	-	n.m.	-
Foreign Currency exchange gain (loss)	-	-	n.m.	-	-	n.m.	-
PBT	13,644	12,916	5.6%	16,251	15,408	5.5%	18,502
Tax	(2,611)	(2,377)	9.9%	(3,323)	(3,156)	5.3%	(3,770)
<i>Effective tax rate</i>	<i>19%</i>	<i>18%</i>	<i>0.7 ppt</i>	<i>20%</i>	<i>20%</i>	<i>0.0 ppt</i>	<i>20%</i>
NI before share of P& (L) in equity interests	11,032	10,539	4.7%	12,927	12,251	5.5%	14,732
Share of Equity Investment, MI etc.	5	(86)		(121)	(110)		(146)
NI - ordinary shareholders	11,037	10,454	5.6%	12,807	12,142	5.5%	14,586
EPS (GAAP)	13.82	13.22	4.6%	16.04	15.35	4.5%	18.27
Non-GAAP net profit	11,488	10,895	5.4%	13,327	12,651	5.3%	15,182
Non-GAAP EPS	14.15	13.44	5.3%	16.42	15.60	5.3%	18.71

Source: Morgan Stanley Research estimates.

Exhibit 3: WACC assumptions

Valuation Assumptions	
Valuation date	12/31/2026
Risk Free Rate	4.0%
Adj. Beta	1.0x
Market Risk Premium	9.8%
Cost of Equity	13.8%
Cost of Debt	3.0%
Marginal Tax-Rate	18%
Long-Term Debt / Total Cap	5%
WACC	13.2%
Perpetual growth rate	3.0%

Source: Morgan Stanley Research estimates.

Exhibit 4: Price target (USD)

Current Valuation			
	Prob	Value	Imp. 2026 P/E
Bull	15%	39.6	18.5
Base	75%	30.0	14.0
Bear	10%	16.8	7.8
Price Target		30.1	14.1

Source: Morgan Stanley Research estimates.

Exhibit 5:

DCF: Base case valuation

(December 31, Rmb mn)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Gross Revenue	30,406	35,377	38,419	44,281	49,099	56,721	65,016	72,476	78,274	84,536	91,298	98,602	106,491	111,815	117,406	123,276
YoY % Chg	20.6%	16.3%	8.6%	15.3%	10.9%	15.5%	14.6%	11.5%	8%	8%	8%	8%	8%	5.0%	5.0%	5.0%
Adj. EBIT	5,751	7,915	10,263	12,096	10,704	13,506	16,009	18,138	19,589	21,156	22,848	24,676	26,650	27,983	29,382	30,851
D&A	2,222	2,683	2,916	3,066	3,408	3,517	3,674	3,882	3,986	4,165	4,351	4,543	4,767	5,023	4,912	5,038
Adj. EBITDA*	7,973	10,599	13,179	15,161	14,112	17,023	19,682	22,020	23,574	25,320	27,199	29,219	31,417	33,005	34,293	35,888
Other non-cash adj	(124)	447	387	610	(268)	-	-	1	-	-	-	-	-	-	-	-
(+/-) Changes in working capital	139	1,780	1,317	(2,152)	(385)	(400)	(104)	237	184	199	215	232	251	169	178	187
(-) Tax based on EBIT	(964)	(1,525)	(1,815)	(2,870)	(1,805)	(2,516)	(3,212)	(3,625)	(3,526)	(3,808)	(4,113)	(4,442)	(4,797)	(5,037)	(5,289)	(5,553)
(-) Capex	(9,779)	(7,394)	(6,526)	(5,738)	(5,877)	(5,918)	(5,787)	(5,525)	(5,771)	(6,022)	(6,275)	(6,777)	(7,319)	(7,685)	(8,070)	(8,629)
Unlevered free cash flow	(2,755)	3,907	6,541	5,011	5,777	8,189	10,579	13,108	14,461	15,690	17,026	18,233	19,552	20,452	21,113	21,892
% of revenue	-9.1%	11.0%	17.0%	11.3%	11.8%	14.4%	16.3%	18.1%	18.5%	18.6%	18.6%	18.5%	18.4%	18.3%	18.0%	17.8%
YoY % Chg	-43.3%	-241.8%	67.4%	-23.4%	15.3%	41.7%	29.2%	23.9%	10.3%	8.5%	8.5%	7.1%	7.2%	4.6%	3.2%	3.7%
Adj. EBIT Margin	18.9%	22.4%	26.7%	27.3%	21.8%	23.8%	24.6%	25.0%	25%	25%	25%	25%	25%	25%	25%	25%
Working capital vs. revenue changes	2.7%	35.8%	43.3%	-36.7%	-8.0%	-5.2%	-1.3%	3.2%	3.2%	3.2%	3.2%	3.2%	3.2%	3.2%	3.2%	3.2%
Capex as % of sales	32.2%	20.9%	17.0%	13.0%	12.0%	10.4%	8.9%	7.6%	7.4%	7.1%	6.9%	6.9%	6.9%	6.9%	6.9%	7.0%
EOP PPE, Net	24,930	28,813	32,181	33,915	35,434	37,253	38,765	39,798	41,584	43,441	45,366	47,599	50,152	52,814	55,972	59,564
D&A as % of BOP PPE, Net	12.0%	10.8%	10.1%	9.5%	10.0%	9.9%	9.9%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	9.3%	9.0%
D&A as % of Sales	7.3%	7.6%	7.6%	6.9%	6.9%	6.2%	5.7%	5.4%	5.1%	4.9%	4.8%	4.6%	4.5%	4.5%	4.2%	4.1%
*Equal to adj. EBITDA per company basis -																
NPV Calculations																
Year for 1-year forward value							1.0	2.0	3.0	4.0	5.0	6.0	7.0	8.0	9.0	10.0
Discounted cash flows							9,343	10,220	9,957	9,541	9,143	8,644	8,186	7,562	6,894	6,311
ZTO: Base Case Intrinsic Value Calculation																
Fair Value																
PV of FCF	85,802															
NPV of terminal value	63,527															
Enterprise value	149,329															
(-) Debt (2026)	(8,216)															
(+) Cash (2026)	27,375															
(-) Book value of Minority Interests	(846)															
Equity Value	167,642															
Fully Diluted Shares (2026e)	798															
Equity fair value per share	210.0															
Non-GAAP EPS (2026)	14.4															
Implied forward P/E	14.6x															
Implied terminal EBITDA multiple	1.8x															
Rmb/USD exchange rate	7.00															
Equity fair value per share (US\$)	30.0															

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Risk Reward – ZTO Express (ZTO.N)

Market share gain to continue; OW

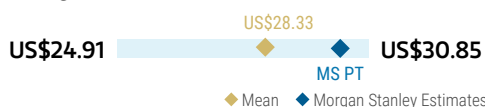
PRICE TARGET US\$30.10

Discounted cash flow, probability-weighted 15% bull case, 75% base case, 10% bear case. Greater skew towards the bull case vs bear case reflects ZTO's market leadership in terms of volume and unit profitability. We see a mild probability that our bear case could play out if there are significant disruptions to the competitive landscape from new players joining the industry.

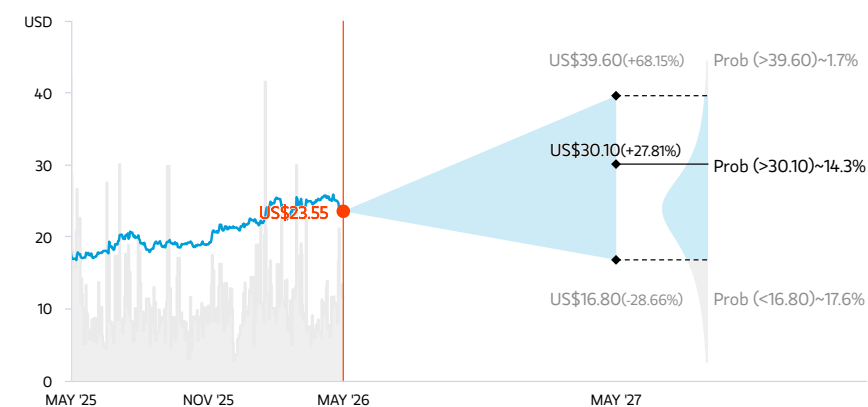
Key assumptions: 13.2% WACC and 3% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 19 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

US\$39.60

19x 2026e P/E

Revenue growth of 17%, 17% and 14% for 2026e, 2027e and 2028e, respectively, and adjusted EBIT margins of 26%, 27% and 27%. Express industry consolidates faster than expected, and ZTO takes significantly more market share than peers.

BASE CASE

US\$30.00

14x 2026e P/E

Revenue growth of 16%, 15% and 11% for 2026e, 2027e and 2028e, respectively, and adjusted EBIT margins of 24%, 25% and 25%. We expect industry volume to grow 8% 9% and 9% YoY in 2026-28e. We also expect ZTO's market share to rise 0.7ppt in 2026e, 0.6ppt in 2027e, and 0.3ppt in 2028e given its more balanced network partner interests, better cost control, and better service quality.

BEAR CASE

US\$16.80

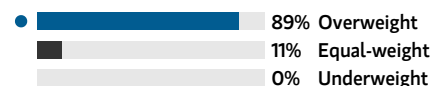
8x 2026e P/E

Revenue growth of 13%, 12% and 8% for 2026e, 2027e and 2028e, respectively, and adjusted EBIT margins of 16%, 17% and 18%. Slower volume growth led by weaker-than-expected e-commerce demand. Lower-than-expected adjusted EBIT margins for 2026-28e, impaired by cost inflation in serving key accounts, as well as declining ASPs due to intensified price competition.

OVERWEIGHT THESIS

- Leading players are gaining market share due to decreased low-value parcels and continuing efforts to pursue high service quality, which is a positive surprise to us.
- We expect ZTO could achieve both market-share gain and unit profit expansion in 2026.
- Share repurchases should bring support to valuation.
- Our price target implies 14x 2026e P/E (non-GAAP).

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Self-help: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – ZTO Express (ZTO.N)

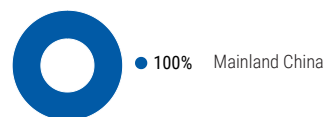
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Express volume growth (%)	13.2	11.9	12.3	10.6
Express ASP growth (%)	(1.7)	3.7	2.3	0.9
Express unit cost growth (%)	7.1	0.9	1.0	0.2

INVESTMENT DRIVERS

- Volume growth
- ASP trend
- Unit cost and margins
- Market consolidation

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected market share gains
- Better cost control
- Peers' weak performance in terms of volume, revenue growth, or profitability
- Improvement in shareholder returns

RISKS TO DOWNSIDE

- Continued market share loss
- Industry competition is more intensified than expected
- Market consolidation stagnates

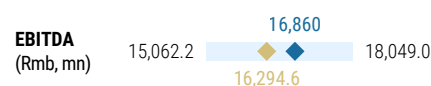
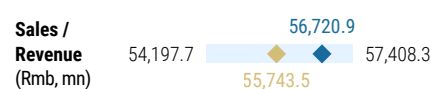
OWNERSHIP POSITIONING

Inst. Owners, % Active	61.7%	
HF Sector Long/Short Ratio	1.4x	
HF Sector Net Exposure	8.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 6: Financial summary

Income Statement	2024	2025	2026E	2027E	2028E	Ratio Analysis	2024	2025	2026E	2027E	2028E
Total revenue	44,281	49,099	56,721	65,016	72,476	Growth (YoY)					
Cost of revenues	30,564	36,827	41,412	46,870	51,877	Total revenue	15.3	10.9	15.5	14.6	11.5
Gross profit	13,717	12,271	15,309	18,146	20,598	Cost of revenues	14.2	20.5	12.4	13.2	10.7
SG&A	2,690	2,638	2,958	3,359	3,755	Gross profit	17.6	(10.5)	24.8	18.5	13.5
Other operating expenses, net	(750)	(841)	(891)	(918)	(946)	Operating profit	17.7	(11.1)	26.4	18.6	13.3
Operating profit	11,777	10,475	13,243	15,705	17,789	Pre-tax Income	9.2	(5.3)	24.3	18.2	13.9
Interest income	994	747	636	703	794	Net income - ordinary sharehold	0.8	3.0	21.5	16.0	13.9
Interest expense	(338)	(249)	(235)	(157)	(81)	Adj. EBITDA	15.9	(8.0)	18.3	14.8	11.9
Pre-tax Income	11,676	11,054	13,744	16,251	18,502	Adj. Net Income	12.7	(6.3)	20.8	16.0	13.9
Income tax expense	(2,845)	(1,905)	(2,611)	(3,323)	(3,770)	Adj. EPS (non-GAAP)	12.1	(5.2)	24.2	16.0	13.9
Net income b/f investment income (loss)	8,830	9,148	11,132	12,927	14,732	Margins (%)					
Share of investment income (loss)	57	87	92	96	101	Gross profit margin	31.0	25.0	27.0	27.9	28.4
Net Income	8,888	9,236	11,224	13,024	14,833	Adj. EBITDA margin	36.9	30.6	31.4	31.4	31.5
Net Loss (gain) - minority interests	(71)	(155)	(187)	(217)	(247)	Operating profit margin	26.6	21.3	23.3	24.2	24.5
Net income - ordinary shareholders	8,817	9,081	11,037	12,807	14,586	Adj. Net income margin	22.9	19.4	20.3	20.5	20.9
Non-GAAP Measurements:						Return (%)					
Adj. EBITDA	16,357	15,046	17,795	20,430	22,865	ROE	14.7	14.6	16.6	17.4	17.6
Adj. Net Income	10,150	9,513	11,488	13,327	15,182	ROA	9.8	9.9	11.7	12.7	13.5
Adj. EPS (non-GAAP)	12.02	11.40	14.15	16.42	18.71	Adj. ROE	17.0	15.3	17.3	18.1	18.3
ModelWare EPS	10.52	11.06	13.82	16.04	18.27	Adj. ROA	11.2	10.4	12.2	13.2	14.0
Balance Sheet	2024E	2025E	2026E	2027E	2028E	Adj. ROE (excluding Cash)	25.4	23.9	28.2	28.7	29.4
Cash and short-term investment	22,314	25,632	27,346	31,214	34,926	Gearing (%)					
Restricted Cash	38	29	29	29	29	Net cash / equity	20.5	21.7	25.8	31.2	35.7
Account receivables and others	8,002	8,303	10,170	11,796	13,005	Unit Analysis	2024E	2025E	2026E	2027E	2028E
Total current assets	30,354	33,965	37,545	43,039	47,960	(Rmb/parcel)					
Investments in equity investors	1,871	1,952	2,044	2,140	2,241	Revenues (Rmb m)	44,281	49,099	56,721	65,016	72,476
Property and equipment, net	33,915	35,434	37,253	38,765	39,798	Volumes (mn parcels)	34,011	38,517	43,102	48,387	53,508
Land use rights, net	6,170	6,762	7,463	8,147	8,815	Unit express revenue	1.27	1.25	1.30	1.33	1.34
Goodwill	4,242	4,157	4,157	4,157	4,157	Unit cost of revenue	0.87	0.94	0.94	0.95	0.96
Other non-current assets	15,788	8,755	8,636	8,553	8,495	Unit GP	0.40	0.32	0.36	0.38	0.38
Total assets	92,340	91,024	97,098	104,801	111,466	Unit OP	0.35	0.27	0.31	0.32	0.33
Short term bank borrowings	9,514	10,934	7,934	4,934	1,934	Unit NP (non-GAAP)	0.30	0.25	0.27	0.28	0.28
Account payables, advances, etc	4,904	5,626	6,439	7,088	7,721	YoY Chg (%)					
Other non-current assets	13,856	6,308	7,040	7,968	8,819	Revenues (Rmb m)	15.3	10.9	15.5	14.6	11.5
Total current liabilities	28,273	22,869	21,414	19,990	18,475	Volumes (mn parcels)	12.6	13.2	11.9	12.3	10.6
Deferred tax liabilities	1,015	615	615	615	615	Unit express revenue	2.8	(1.7)	3.7	2.3	0.9
Total liabilities	29,665	23,888	22,355	20,877	19,323	Unit cost of revenue	1.9	7.1	0.9	1.0	0.2
Total Shareholder's equity	62,062	66,384	73,804	82,768	90,739	Unit GP	4.4	(21.0)	11.5	5.6	2.6
Non controlling interests	612	752	939	1,156	1,404	Unit OP	4.5	(21.5)	13.0	5.6	2.4
Total equity	62,675	67,136	74,743	83,924	92,143	Unit NP (non-GAAP)	0.1	(17.2)	7.9	3.3	3.0
Total Capital Employed	92,340	91,024	97,098	104,801	111,466						
Cash Flow Statement	2024E	2025E	2026E	2027E	2028E	MW Metrics	2024E	2025E	2026E	2027E	2028E
Net Income	8,888	9,236	11,224	13,024	14,833	EPS - period end	10.95	11.38	13.82	16.04	18.27
Share-based compensation	319	229	264	303	349	P/E GAAP	13.6	13.2	11.6	10.0	8.8
Depreciation and amortization	3,066	3,408	3,517	3,674	3,882	P/E Non-GAAP	13.3	14.1	11.3	9.8	8.6
Disposal losses (gains)	918	(92)	-	-	-	P/BV	1.9	1.8	1.7	1.5	1.4
Other non-cash items	523	(446)	(92)	(96)	(101)	EV/EBITDA	7.6	7.6	5.9	4.7	3.8
Gross cash flow	13,713	12,336	14,913	16,904	18,963	FCF Yield	4.4%	5.1%	6.5%	8.4%	10.4%
Capex, net	(5,738)	(5,877)	(5,918)	(5,787)	(5,525)	Dividend Yield	3.6%	3.3%	0.0%	3.6%	4.1%
Change in working capital	(2,284)	(367)	(400)	(104)	237	MW ROE	14.7%	14.6%	16.6%	17.4%	17.6%
Free cash flow	5,692	6,092	8,595	11,013	13,675						
Dividend paid	(5,605)	(3,780)	(3,881)	(2,146)	(4,963)						
Net borrowings / repayment	1,747	(5,543)	(3,000)	(3,000)	(3,000)						
Others	(1,354)	(252)	-	(2,000)	(2,000)						
Net cash flow	480	(3,484)	1,714	3,867	3,712						
Effect of exchange rates	26	(58)	-	-	-						
Beginning cash	13,051	13,531	10,047	11,760	15,628						
Ending cash	13,531	10,047	11,760	15,628	19,340						

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 5/1/21 : 0/I

Price Target History: 3/18/21 : 32.7; 5/14/21 : 37.7; 11/19/21 : 42.4; 5/20/22 : 36.5; 8/18/22 : 38.8; 10/13/22 : 30.5; 2/20/23 : 35.6; 3/16/23 : 37.8; 5/18/23 : 41.5; 9/4/23 : 39.2; 11/17/23 : 34.9; 2/5/24 : 24.5; 3/20/24 : 27.7; 11/20/24 : 26.9; 5/21/25 : 24.2; 7/2/25 : 24.6; 8/22/25 : 23.8; 11/20/25 : 25; 3/18/26 : 28.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Hong Kong/China Transportation & Infrastructure

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/20/2026)
Qianlei Fan, CFA		
Air China Limited (601111.SS)	O (02/09/2026)	Rmb6.70
Air China Limited (0753.HK)	O (01/13/2025)	HK\$4.57
Beijing-Shanghai High-Speed Railway (601816.SS)	O (07/03/2020)	Rmb4.89
BOC Aviation (2588.HK)	O (03/21/2022)	HK\$77.00
Cathay Pacific Airways (0293.HK)		HK\$11.99
China Eastern Airlines (600115.SS)	O (02/09/2026)	Rmb4.12
China Eastern Airlines (0670.HK)	O (01/13/2025)	HK\$3.53
China Merchants Energy Shipping Co. Ltd. (601872.SS)	O (03/10/2020)	Rmb17.73
China Southern Airlines (600029.SS)	O (02/09/2026)	Rmb5.29
China Southern Airlines (1055.HK)	O (01/13/2025)	HK\$3.76
COSCO SHIPPING Energy Transportation (1138.HK)	O (01/12/2023)	HK\$18.55
COSCO SHIPPING Energy Transportation (600026.SS)	O (11/25/2025)	Rmb22.64
COSCO Shipping Holdings Ltd (601919.SS)	U (07/15/2024)	Rmb14.49
COSCO Shipping Holdings Ltd (1919.HK)	U (07/15/2024)	HK\$15.30
J&T Global Express Ltd (1519.HK)	E (08/21/2024)	HK\$8.82
Orient Overseas (International) Ltd (0316.HK)	U (07/15/2024)	HK\$145.00
Pacific Basin Shipping (2343.HK)	E (07/04/2025)	HK\$3.36
S.F. Holding Co Ltd (002352.SZ)	E (09/01/2025)	Rmb35.72
SITC International Holdings Company (1308.HK)	E (01/12/2023)	HK\$35.00
Spring Airlines (601021.SS)	O (08/31/2015)	Rmb45.59
TravelSky Technology (0696.HK)	U (01/13/2025)	HK\$9.46
ZTO Express (ZTO.N)	O (11/21/2016)	US\$23.55
Tenny Song		
Beijing Capital Int'l Airport (0694.HK)	U (09/23/2025)	HK\$1.83
Guangzhou Baiyun Int'l Airport (600004.SS)	E (09/23/2025)	Rmb8.31
JD Logistics, Inc. (2618.HK)	O (03/09/2026)	HK\$13.69

Shanghai International Airport (600009.SS)	E (09/23/2025)	Rmb25.75
STO Express Co Ltd (002468.SZ)	E (10/22/2024)	Rmb15.86
YTO Express Group Co Ltd (600233.SS)	O (09/11/2025)	Rmb19.34
YUNDA Holding Co Ltd (002120.SZ)	U (07/29/2020)	Rmb7.40

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.